

CHAPTER-4

ACCOUNTING FOR ETHIOPIAN PAYROLL

Learning Objectives

1. Identify meaning and importance of payroll
2. Identified the major activities of payroll
3. Explain how to determine payroll
4. Discuss how to record payroll

4.1. Meaning and Importance of Payroll

The term “payroll” pertains to both salaries and wages of employees. *Salaries* are often expressed in terms of a specified amount per month or per year rather than an hourly rate. Managerial, administrative, and sales personnel are generally paid salaries. *Wages* are based on a rate per hour or on a piecework basis (such as per unit of product). Store clerks, factory employees, and manual laborers are normally paid wages. Frequently, people use the terms “salaries” and “wages” interchangeably.

Government regulations relating to the payment and reporting of payroll taxes apply only to employees earning (i.e., salaries and wages). Payroll is not applied to payments made for services of professionals such as certified public accountants, doctors, attorneys, and architects. Payments to such professionals is called *fees* and it is subject to business income tax.

A company’s payroll is important for the following reasons:

- ❖ Payroll and related payroll taxes significantly affect the net income of most companies.
- ❖ Payroll is subject to government regulations.
- ❖ Good employee morale requires payroll to be paid timely and accurately

4.2. Major activities involved in accounting for payroll

Payroll accounting involves the following main activities which are undertaken during the pay period.

Payroll accountants are expected to accomplish these activities on a regular basis.

- **Gathering the necessary data:** all the relevant information about every employee's should be gathered. This requires reviewing various documents such as attendance sheets and doing some arithmetic work.
- **Entering the payroll data:** the names of employee's along with the gathered data such as, earnings, deductions and net pays shall be entered in the appropriate columns of the payroll register.
- **Totaling and proving the payroll register:** the grand total for earnings must be checked if it is equal to the sum of the grand totals of deductions and net pays.
- **The accuracy and authenticity of the information:** summarized amounts in the payroll should be verified by a different person from the one who prepared it.
- **Authorization:** the payroll should be approved by an authorized personnel (individual)
- **Payment: Paying the payroll -** either in cash or by writing a check. Nowadays, many organizations are making the payments through banks.
- **Recording payroll related transactions:** the payment of the payroll and income taxes withheld from employees (withhold doing tax liability) should be recorded in journal entry form.
- **Declaration of the taxes:** the tax withheld must be paid to the relevant government authority in time (promptly) and this is recorded in journal entry form
- Gross earnings.
- payroll deductions
- Net pay
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4.3. Determining Payroll

Determining the payroll involves computing three amounts:

1. Gross earnings.
2. payroll deductions
3. Net pay

4.2.1 Gross Earning

Gross earning is the total compensation earned by an employee. In Ethiopia, the ***Federal Income Tax Proclamation No. 979/2016*** identified the followings as employment income:

- (a) salary, wages, an allowance, bonus, commission, gratuity, or other remuneration received by an employee in respect of a past, current, or future employment;
- (b) the value of fringe (in kind) benefits received by an employee in respect of a past, current, or future employment;

- (c) an amount received by an employee on termination of employment, whether paid voluntarily, under an agreement, or as a result of legal proceedings, including any compensation for redundancy or loss of employment, or a golden handshake payment.

$$\text{Gross Earnings} = \text{Basic salary} + \text{Allowance} + \text{OT Earning} + \text{Others}$$

TERMS

- ❖ The term **wage** is more correctly used to refer to payments for manual labor that are paid based on the number of hours worked or the number of units produced.
- ❖ **Salary** for an employee is generally based on a monthly or yearly rate rather than on an hourly basis. Most executive and administrative positions are salaried.
- ❖ **Bonuses** are payments to employees made by companies for achieving increased sales or net income.
- ❖ **Allowance** represents money paid monthly to an employee for special reason, which may include:
 - ❖ **Position Allowance:** - a monthly sum paid to an employee for bearing a particular office responsibility, e.g., Head of a particular department or division.
 - ❖ **House allowance:** - a monthly allowance given to cover housing costs of the individual employee when the employment contract required the employer to provide housing but fails to do so.
 - ❖ **Hardship Allowance:** - a sum of money given to an employee to compensate for an inconvenient circumstance caused by the employer. For instance, unexpected transfer to different and distant work area or location. It is sometimes known as disturbance allowance.
 - ❖ **Desert Allowance:** - a monthly allowance given to an employee because of assignment to a relatively hot region.
 - ❖ **Transportation (fuel) allowance:** - a monthly allowance to an employee to cover cost of transportation up to the work place if the employer has committed itself to provide transportation service.
- ❖ **Overtime Earning** is the amount payable to an employee for work performed by an employee beyond the regular working hours or days. Overtime earning is calculated by multiplying basic salary/wage per hour, overtime hour and the appropriate rate which vary from country to country. In Ethiopia, the **Labor Proclamation No. 1156/2019** stated that that the normal hours of work shall not exceed **8 hours a day** or **48 hours a week** and weekly rest day shall fall on Sunday. In addition, the proclamation mentioned the following rates of payments as indicated in the beneath table for overtime works.

Overtime Hours	Overtime Rate
6 AM to 10:00 PM	1.5
10:00 PM - 6:00 AM	1.75
Weekly Rest Days	2
Holydays	2.5

The Federal Civil Servants *Proclamation NO.1064/2017* stated regular working hours of civil servants shall be determined on the basis of the conditions of work and may not exceed **8 hours a day** or **39 hours a week (Friday 7 hours)**.

$$\text{OT formula} = \frac{\text{Salary}}{\text{Working hours in a month}} \times (\text{worked hours} \times \text{h/Br. or rate})$$

Basic salary per hour of a salaried employee is determined by dividing basic salary by the total working hours in a month for instance 240 Hrs. (i.e., 8 x 30) in Ethiopia. Wage per hour, on the other side, is determined by dividing wage by the total expected working hours in a month.

4.2.2. Payroll Deductions

- ❖ **Voluntary Deductions** - Employees may voluntarily authorize withholding for charitable, retirement, and other purposes. The employee should authorize all voluntary deductions from gross earnings in writing.
- ❖ **Mandatory (Required) Deductions** - are deductions made from the earnings of employee that is because it is required by government. In Ethiopia, the typical mandatory deductions are *employee income tax and pension contribution*.

(a) Employee Income Tax

According to the *Federal Income Tax Proclamation No. 979/2016*, every employee is required to pay income tax unless his/her income is indicated in the tax exemption otherwise. The proclamation specified the first 600 Birr of employee earning is exempted from income tax. The tax on income from employment of OVER Birr 600 shall be charged according to the following schedule.

Tax Bracket	Tax Rate	Deduction
0 – 600	-	-
601 - 1,650	10%	60
1,651 - 3,200	15%	142.5

3,201 - 5,250	20%	302.5
5,251 - 7,800	25%	565
7,801 - 10,900	30%	955
Above 10,900	35%	1,500

Exemptions

As mentioned in the *Federal Income Tax Proclamation No. 979/2016* and *Council of Ministers Income Tax Regulation No.410 /2017*, the following benefits provided to an employee are tax exempted:

1. An amount paid by an employer to cover the actual cost of medical treatment of an employee;
2. **Hardship allowance;**
- ③ Allowance in lieu of means of transportation granted to employees under contract of Employment to the extent of the amount to be determined by the tax authority. Currently, transportation allowance is lower of ETB 2,200 or 25% of the employee's salary and the tax exempted amount of transportation allowances is ***lower of Br 600 or 15% of the basic salary of the employee.***
4. an amount as reimbursement of travelling expenses incurred in the course of employment;
5. travelling expenses paid to an employee recruited from place other than the place of employment on joining or completion of employment, including, in the case of a foreign employee, travel expenses from and to their country of origin, but only if the travel expenses have been paid pursuant to specific provisions of the employee's contract of employment;
6. food and beverages provided for free to an employee by an employer conducting a mining, manufacturing, or agricultural business;
7. allowance paid by government of Ethiopia to employees engaged in public service in a foreign country;
8. Pension contribution, provident fund and all forms of retirement benefits contributed by employers in an amount that does not exceed 15% of the monthly salary of the employee;
9. Payments made to a person as compensation or gratitude in relation to personal injuries Suffered by the person or the death of another person;
10. allowances paid to members and secretaries of boards of public enterprises, public bodies, or study groups established by the Federal or a State Government or City administration;
11. Income from employment received by casual employees who are not regularly employed provided that they do not work for more than one month for one employer.
12. employment income of not exceeding five years paid to expatriate professionals recruited for transfer of knowledge by investors engaged in export business in accordance with a directive to be issued by the Minister;

(b) Pension contributions

The second mandatory deduction is pension contribution. The *Public Servants' Pension Proclamation No. 714/2011* and *Private organization employees' pension proclamation No. 715/2011* demand permanent employees of an organization to contribute 7% of their basic salary to the government Pension Trust Fund. On the other side, employer organization (private or public) shall contribute 11% of the basic salary of every permanent employee towards the same fund. However,

such contribution by Military and Police office raises to 25%. Therefore, the total contribution to the Pension Trust Fund for public servant and private employees is equal to 18% of basic salary and that for soldiers and police officers is 32%. The contributed amount is often called ***Payroll Taxes Expense*** to the employer organization. The employer organization shall deduct contributions of permanent employees from their salaries and pay together with its own contributions, to the pension fund within 30 days from the last day of the month in which payment of salary has been made.

4.2.2 Net Pays

Net pay is determined by subtracting payroll deductions from gross earnings. It is sometimes known as take home pay; the amount collected by an employee on the payday.

4.4. Recording Payroll

Recording the payroll involves maintaining payroll department records, recognizing payroll expenses and liabilities, and recording payment of the payroll.

4.3.1 Maintaining Payroll Department Records

Basic Records of a Payroll Accounting System Includes:

- **Individual employees' earnings records** – is a record of each employee's gross earnings, deductions, and net pay during the year.
- **A payroll register (or payroll Sheet)** - the entire list of employees of a business along with each employee's gross earning, deductions and net pay for particular payroll period.

4.3.2 Recognizing Payroll Expenses and Liabilities

A company will have the following entries:

- Debits Salaries and Wages Expense for the ***gross earnings*** of its employees.
- Credits specific liability accounts for the mandatory and voluntary deductions made during the pay period.
- Credit Salaries and Wages Payable for ***net pay*** amount. If the payment is on the date of payroll sheet preparation, cash will be credited for net pay amount.

4.3.3 Recording Payment of the Payroll

Debit Salaries and Wages Payable and credit cash.

Illustration Example

Gafat Business Group pays its employees according to the Ethiopian Calendar month. The fourth- coming

data relates to payroll of some selected employees for the month Ginbot, 2014.

S.No.	Name	Basic Salary	Monthly transport allowance	Overtime hours worked	Duration of overtime
1	Almaz	9,000.00	2,000.00	10	6 AM to 10 PM
2	Belay	12,000.00	-	8	10 PM to 6 AM
3	Zelalem	10,000.00	-	6	Weekly rest days
4	Kassa	5,000.00	1,000.00	-	
5	Bereket	3,800.00	950.00	10	Public holyday

Note that, management of the company usually expects a worker to work 8 hours in a day (48 hours in a week or 192 Hrs. in a month) and during Ginbot, 2014 all workers have done as they have been expected. Besides, all workers of this company are permanent employees except Kassa. Zelalem agreed to have a monthly Birr 800 be deducted and paid to charity organization.

INSTURCTIONS: Based on the above information;

1. Prepare individual employees' earnings records for the month Ginbot, 2014.
2. Prepare a payroll register (or sheet) for the month Ginbot, 2014.
3. Record the payment of salary as of Ginbot 30, 2014 assuming that Ginbot 30 date of payment.
4. Record the payroll taxes expense for the month Ginbot, 2014
5. Record the payment to the charity organization from Ginbot's Payroll assuming that the payment was made on Sene 3, 2014.
6. Prepare the journal entry assuming that the withholding taxes and payroll taxes for the month of Ginbot, 2014 have been paid on Sene 5, 2014

Solution

1. *Prepare individual employees' earnings records for the month Ginbot, 2014.*

Gross earning = basic salary + overtime earning + allowance + Overtime

earnings +others

Overtime earnings = Basic salary per hour x Over time hours x Rate

Name	Ordinary hourly rate (1) = basic salary per hr.	Overtime hours worked (2)	Rate (3)	Overtime earning (1x2x3)
Almaz	46.88	10	1.5	703.2
Belay	62.5	8	1.75	875
Zelalem	52.08	6	2	624.96
Bereket	19.79	10	2.5	494.75

Name	Basic salary	Monthly allowance	Overtime earning	Gross earning	Gross taxable income
Almaz	9,000	2,000	703.2	11,703.20	11,103.2*
Belay	12,000	-	875	12,875	12,875
Zelalem	10,000	-	624.96	10,624.96	10,624.96
Kassa	5,000	1,000	-	6,000	5,400**
Bereket	3,800	950	494.75	5,244.75	4,644.75***

*11,103.2= 11,703.2 – 600 (note that, 600 is exempted since 15% of basic salary i.e., 1,350 is higher than 600)

**5,400 = 6,000 – 600 (note that, 600 is exempted since 15% of basic salary i.e., 750 is higher than 600)

***4,674.75= 5,244.75 – 570 (note that, 15% of basic salary i.e., 570 is exempted since it is lower than 600)

Almaz	
Gross earning	11,703.2
(Deductions)	
1. Income tax	(11,103.2 x 35%) – 1,500 = 2,386.12
2. Pension cont.	9,000 x 7% = 630
3. Other	-
Total deduction	3,016.12
Net pay	8,687.08

Belay	
Gross earning	12,875
(Deductions)	
1. Income tax	(12,875 x 35%) – 1500 = 3,006.25
2. Pension cont.	12,000 x 7% = 840
3. Other	-
Total deduction	3,846.25
Net pay	9,028.75

Zelalem	
Gross earning	10,624.96
(Deductions)	
1. Income tax	$(10,624.96 \times 30\%) - 955 = 2,232.49$
2. Pension cont.	$10,000 \times 7\% = 700$
3. Other	800
Total deduction	3,732.49
Net pay	6,892.47

Kassa	
Gross earning	6,000
(Deductions)	
1. Income tax	$(5,400 \times 25\%) - 565 = 785$
2. Pension cont.	-
3. Other	-
Total deduction	785
Net pay	5,215

Bereket	
Gross earning	5,244.75
(Deductions)	
1. Income tax	$(4,644.75 \times 20\%) - 302.5 = 626.45$
2. Pension cont.	$3,800 \times 0.07 = 266$
3. Other	-
Total deduction	892.45
Net pay	4,352.3

2. Prepare a payroll register (or sheet) for the company for the month of Ginbot, 2014.

Gafat Business Group Payroll Register
For the month ended Ginbot 30, 2014

No	Name	Taxable Earning				Non-Taxable Earning				Deduction				Net Pay
		Basic Salary	Overtime Earnings	Transport Allowance (above Br. 600)	Total Taxable Earnings	Transport Allowance (below 600)	Pension fee from the Employee (7%)	Pension fee from the College (11%)	Gross Earnings	Income Tax	Pension Fee (7%)	other deduction	Total Deductions	
1	Almaz	9,000	703.2	1,400	11,103.20	600.00	630	990.00	11,703.2	2386.12	630.00		3,016.12	8,687.08
2	Belay	12,000	875		12,875.00		840	1,320.00	12,875.0	3006.25	840.00		3,846.25	9,028.75
3	Zelalem	10,000	624.96		10,624.96		700	1,100.00	10,625.0	2232.49	700.00	800	3,732.49	6,892.47
4	Kassa	5,000		400	5,400.00	600			6,000.0	785.00	0.00		785.00	5,215.00
5	Bereket	3,800	494.75	350	4,644.75	600.00	266	418.00	5,244.8	626.45	266.00		892.45	4,352.30
Total		39,800	2,697.91	2,150	44,647.91	1,800.00	2,436.00	3,828.00	46,447.91	9,036.31	2,436.00	800	12,272.31	34,175.60

3. Record the payment of salary as of Ginbot 30, 2014

Salary Expense.....46,447.91(gross earning)
Employee Income Tax Payable.....9,036.31
Pension Contribution Payable.....2,436
Charity organization Payable.....800
Cash.....34,175.6

4. Record the payroll taxes expense for the month of Ginbot, 2014

Payroll Tax Expense.....3,828
Pension Contribution Payable.....3,828
(Note that, 3,828 is calculated as 11% of basic salary of permanent staff)

5. *Record the payment to the charity organization from Ginbot's Payroll assuming that the payment was made on Sene 3, 2014.*

Charity organization Payable.....800
Cash.....800

6. *Prepare the journal entry assuming that the withholding taxes and payroll taxes for the month of Ginbot, 2014 have been paid on Sene 5, 2014.*

Employee Income Tax Payable.....9,042.31
Pension Contribution Payable.....6,264
Cash.....15,306.31

NB: The above jour was applicable in other countries, but in our country Ethiopia,
the above entry number 3 & 4 are merged or applicable

Applicable Entry for our country Ethiopia is as follows (3&4 Merged)		
	Dr	Cr
Basic Salary	39,800.00	
Overtime	2,697.91	
Allowances	3,950.00	
Pension Contribution Expense (11%)	3,828.00	
Employee Income Tax Payable		9,036.31
Pension Contribution Payable (18%)		6,264.00
Charity organization Payable		800.00
Cash		34,175.60